[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 03-03-2026

In the Matter Of:

Petition filed by M/s **Technopark** for the Truing Up of Accounts for the Financial Year **2023-24**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	5,549.13	5,528.39	-20.74
2	Employee Cost	60.02	29.82	-30.20
3	Repairs & Maintenance	503.62	385.04	-118.58
4	Administration & General	95.36	49.55	-45.81
5	Depreciation	82.38	82.38	0.00
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	90.04	39.55	-50.49
8	Section 3(1) Electricity Duty	0.00	0.00	0.00
9	Other Expenses	2.32	2.32	0.00
	TOTAL EXPENDITURE	**6,382.87**	**6,117.05**	**-265.82**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	148.43	148.43	0.00
12	Other Revenue	148.43	148.43	0.00
	TOTAL REVENUE	**296.86**	**296.86**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 5,549.13 Lakhs | Amount Approved: Rs. 5,528.39 Lakhs | Variance: Rs. -20.74 Lakhs

The actual distribution loss of 4.06% exceeds the KSERC-approved target of 3.70%. Excess loss of 2.88 lakh kWh at the average power purchase cost of Rs. 7.20/kWh results in a disallowance of Rs. 20.74 Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

2. Employee Cost

Amount Claimed: Rs. 60.02 Lakhs | Amount Approved: Rs. 29.82 Lakhs | Variance: Rs. -30.20 Lakhs

The actual distribution loss of 4.06% exceeds the KSERC-approved target of 3.70%. Excess loss of 2.88 lakh kWh at the average power purchase cost of Rs. 7.20/kWh results in a disallowance of Rs. 20.74 Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

3. Repairs & Maintenance

Amount Claimed: Rs. 503.62 Lakhs | Amount Approved: Rs. 385.04 Lakhs | Variance: Rs. -118.58 Lakhs

The claimed Repairs & Maintenance of Rs. 503.62 Lakhs exceeds the effective ceiling of Rs. 385.04 Lakhs (MYT norm (inflation-escalated)). The excess of Rs. 118.58 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves Rs. 385.04 Lakhs. Precedent: In Technopark FY 2022-23 (OP 84/2023), the Commission approved Rs. 402.43 Lakhs against a claim of Rs. 447.65 Lakhs (10.1% reduction).

4. Administration & General Expenses

Amount Claimed: Rs. 95.36 Lakhs | Amount Approved: Rs. 49.55 Lakhs | Variance: Rs. -45.81 Lakhs

The claimed Administration & General Expenses of Rs. 95.36 Lakhs exceeds the effective ceiling of Rs. 49.55 Lakhs (MYT norm (inflation-escalated)). The excess of Rs. 45.81 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves Rs. 49.55 Lakhs. Precedent: In Technopark FY 2022-23 (OP 84/2023), the Commission approved Rs. 36.99 Lakhs against a claim of Rs. 92.05 Lakhs (59.8% reduction).

5. Depreciation

Amount Claimed: Rs. 82.38 Lakhs | Amount Approved: Rs. 82.38 Lakhs | Variance: Rs. 0.00 Lakhs

Depreciation of Rs. 82.38 Lakhs has been verified against the asset register. The rates applied are in accordance with the CERC norms adopted by the Commission. No assets funded by grants or surplus were identified. Approved as claimed.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

Under KSERC rules, interest on loans is computed normatively at 70% of eligible asset additions at weighted average SBI rate. MYT approved norm: Rs. 3.24 Lakhs.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 90.04 Lakhs | Amount Approved: Rs. 39.55 Lakhs | Variance: Rs. -50.49 Lakhs

As per KSERC Tariff Regulation 28, return on NFA is computed at precedent-adjusted (KSERC approved Rs. 35.95L in FY 2022-23). Assets funded by grants (Rs. 612.06L) and accumulated surplus (Rs. 0.00L) are excluded from the eligible base. Approved: Rs. 39.55L.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Section 3(1) Electricity Duty for FY 2023-24.

9. Other Expenses

Amount Claimed: Rs. 2.32 Lakhs | Amount Approved: Rs. 2.32 Lakhs | Variance: Rs. 0.00 Lakhs

The claimed Employee Expenses of Rs. 60.02 Lakhs exceeds the effective ceiling of Rs. 29.82 Lakhs (MYT norm (inflation-escalated)). The excess of Rs. 30.20 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves Rs. 29.82 Lakhs. Precedent: In Technopark FY 2022-23 (OP 84/2023), the Commission approved Rs. 27.82 Lakhs against a claim of Rs. 54.54 Lakhs (49.0% reduction). KSERC reasoning: 'As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations 2021 for each financial year of the Control Period. ... Considering the above, the Commission hereby approves the emp...'

10. Power Purchase Cost — Distribution Loss Penalty

Amount Claimed: Rs. 5,549.13 Lakhs | Amount Approved: Rs. 5,528.39 Lakhs | Disallowed: Rs. 20.74 Lakhs

The actual distribution loss of 4.06% exceeds the KSERC-approved target of 3.70%. Excess loss of 2.88 lakh kWh at the average power purchase cost of Rs. 7.20/kWh results in a disallowance of Rs. 20.74 Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

11. Employee Expenses

Amount Claimed: Rs. 60.02 Lakhs | Amount Approved: Rs. 29.82 Lakhs | Disallowed: Rs. 30.20 Lakhs

The claimed Employee Expenses of Rs. 60.02 Lakhs exceeds the effective ceiling of Rs. 29.82 Lakhs (MYT norm (inflation-escalated)). The excess of Rs. 30.20 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves Rs. 29.82 Lakhs. Precedent: In Technopark FY 2022-23 (OP 84/2023), the Commission approved Rs. 27.82 Lakhs against a claim of Rs. 54.54 Lakhs (49.0% reduction). KSERC reasoning: 'As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations 2021 for each financial year of the Control Period. ... Considering the above, the Commission hereby approves the emp...'

12. Interest on Normative Loan

Amount Claimed: Rs. 123.65 Lakhs | Amount Approved: Rs. 3.24 Lakhs | Disallowed: Rs. 120.41 Lakhs

Under KSERC rules, interest on loans is computed normatively at 70% of eligible asset additions at weighted average SBI rate. MYT approved norm: Rs. 3.24 Lakhs.

13. Return on Net Fixed Assets

Amount Claimed: Rs. 90.04 Lakhs | Amount Approved: Rs. 39.55 Lakhs | Disallowed: Rs. 50.49 Lakhs

As per KSERC Tariff Regulation 28, return on NFA is computed at precedent-adjusted (KSERC approved Rs. 35.95L in FY 2022-23). Assets funded by grants (Rs. 612.06L) and accumulated surplus (Rs. 0.00L) are excluded from the eligible base. Approved: Rs. 39.55L.

Orders of the Commission

Having examined the petition filed by M/s **Technopark** for the Truing Up of Accounts for the Financial Year **2023-24**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **6,630.17 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **6,243.94 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **324.86 Lakhs**.
- The Revenue Gap for the Financial Year 2023-24 is hereby determined as Rs. **5,919.08 Lakhs** (gap).
- The revenue gap of Rs. 5,919.08 Lakhs shall be addressed through tariff adjustments in the next tariff determination cycle, or as otherwise directed by the Commission.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary